Avoiding a Classic Investment Error

IT'S NOT JUST gold that creates a problem when it's half of your net worth—it's *any* concentrated position.

It is even worse when your biggest single asset is also the stock of your employer. Tying your financial health to the fortunes of just one company can create a risk to both your income and assets. History teaches us this is a recipe for disaster.

It's not just frauds like Enron or Lehman Brothers—even the bluest of the blue chips eventually fade away. Consider one of the best performing stocks of the 1980–90s bull market, the mighty General Electric.

Or should I say *once mighty*.

GE was one of the original 12 companies listed on the Dow Jones Industrial Average in 1896. It was more than a blue chip; it was a bellwether for the entire US economy. Today, GE is a shadow of its former self, split in 2024 into three parts—aerospace, medical equipment, and energy.

That's not how it looked a few decades ago, when GE was an unstoppable industrial giant. The company encouraged its employees to buy GE shares directly, making an incredibly generous 50% match of their purchases (taken directly from their paychecks). Considering most firms match only 0–6% of their employees' 401k contributions, for too many employees, this misaligned incentive was too good to pass up.

How did the employees who chose to take their matching 401k contributions in GE stock do? Not so well.

Reading the *Wall Street Journal* one morning in 2018, I spied an article discussing the $140 billion drop in the value of General Electric Co.'s stock price during the prior 12 months: "The stock value lost by GE [in] 12 months is twice the amount that vanished when Enron Corp. collapsed in